



ILLUSTRATION BY **RAJ VERMA**

A codified obligation to adhere to Court rulings could streamline the resolution process and reduce taxpayer grievances. Curtailing the quasi-judicial power to stay tax demand against high-pitched assessments is viewed as breaching taxpayer rights besides the exchequer indebting itself with principal and interest payouts when taxpayers succeed in defending such arbitrary assessments. A settlement or compromise mechanism shall go a long way. Taking a cue from the OECD and UN, introducing mediation, arbitration, or negotiated

settlements could ease the burden on domestic courts, who are otherwise less equipped with the nuances of cross-border transactions and treaty interpretation. The backlog of cases with the first appellate forum, Commissioner (Appeals), has been a bottleneck, which is likely to choke the higher appellate forums. Should the new tax Bill embolden such recommendations, it could mark a pivotal shift towards a fair, transparent ecosystem.

Streamlining the transfer pricing regime in India is an apotheosis for facilitating investments in gar-

gantuan supply chains. The Budget expounded on carrying out Transfer Pricing assessments for a block period of three years, a progenitor for foreign investors that India stands firmly aligned with global standards of transparency and fairness. Additionally, extending the time limit for filing updated tax returns from two to four years encourages voluntary compliance and will reduce litigation, allowing businesses more flexibility to rectify errors. The advent of the new code should fortify an arsenal of announcements. For non-residents who have a permanent establishment or business connection, the notification of profit apportionment rules, which was due in 2019, must be expedited. The Budget has proposed measures to crystallise safe harbours for electronics manufacturing; its coverage to other businesses shall lend certainty.

Budget proposals suggest tariff changes, such as critical minerals used for the manufacture of EVs and electronics, and labour-intensive industries such as leather, the telecom sector, shipbuilding, and shipbreaking, which support targeted manufacturing sectors. It bodes well with the China Plus One strategy.

To conclude, the rejig of personal income tax rates, which entail a whopping ₹1 lakh crore of revenues foregone, is viewed as the most audacious move made by any finance minister. And considering that its coming in a year wherein growth and corporate tax collections are likely to slow, over-delivering on the fiscal deficit target by 10 basis point as well as staying committed to the path including reduction of debt stands out. Finance Bill 2025 promises to proclaim a harbinger of phase-driven, accountable and marquee reform agenda. **BT**

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Views are personal*